

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

INTERNATIONAL LONGSHOREMEN'S ASSOCIATION,
Complainant

v.

GATEWAY TERMINALS, LLC; CHARLESTON STEVEDORING
CO., LLC; PORTS AMERICA FLORIDA, INC.; CERES MARINE
TERMINALS, INC.; AND SSA ATLANTIC, LLC, *Respondents*.

DOCKET NO. 22-12

Served: June 23, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTION TO AMEND COMPLAINT AND MOTION TO DISMISS

I. Introduction and Procedural Background

On April 12, 2022, the Commission issued a Notice of Filing of Complaint and Assignment, stating that International Longshoremen's Association (ILA) had filed a complaint alleging that Gateway Terminals, LLC (Gateway), Charleston Stevedoring Company, LLC (CSC), Ports America Florida, Inc. (Ports America), Ceres Marine Terminals, Inc. (Ceres), and SSA Atlantic, LLC (SSA) had violated 46 U.S.C. §§ 41102(b), 41105(6), 41106 and 15 U.S.C. § 13 by engaging in anticompetitive and trade restrictive practices.

On May 9, 2022, Respondents moved to dismiss ILA's complaint against them ("Dismissal Motion"). On June 3, 2022, Complainant filed a consent motion for leave to amend its Complaint ("Amended Complaint Motion"), indicating that Respondents had consented to its motion, together with the first amended verified complaint and supporting evidence. On June 7, 2022, Complainant filed an opposition to the Dismissal Motion ("Dismissal Opposition") by letter. On June 21, 2022, Respondents filed a reply to the Dismissal Opposition ("Dismissal Reply").

For the reasons set forth below, ILA's motion to amend the complaint is granted, and Respondents' motion to dismiss is denied as moot. Respondents may file a response to the amended complaint by July 8, 2022. The parties shall file a joint status report, as discussed below, by July 18, 2022.

II. Motion to Amend Complaint

Complainant states that the amended complaint addresses issues raised in the Dismissal Motion, namely, Respondents' contention that the Commission lacks jurisdiction over them; that

the Complaint pleads violations of the Clayton Act, which is outside the Commission's purview to adjudicate; and that a proposed agreement by the parties, which formed some of the basis for Complainant's complaint, had been withdrawn from the Commission's consideration. Complainant asserts that the amended complaint does not add any new respondents and removes references to the Clayton and Sherman Acts, as well as alleges new facts that the Commission has personal jurisdiction over Respondents and "clarifies the claims under the Shipping Act." Amended Complaint Motion at 3-4. Complainant notes that Respondents consented to its motion and argues that "Federal case law interpreting FRCP Rule 15 holds that once an adverse party has consented to the motion for amended pleading, leave by the reviewing court must be given as a matter of course." Amended Complaint Motion at 3 (citing *Fern v. United States*, 213 F.2d 674 (9th Cir. 1954)).

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues." 46 C.F.R. § 502.66(a).

The rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with opposing party's written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

As Complainant notes, the amended complaint addresses the deficiencies alleged in Respondents' dismissal motion. Moreover, Respondents do not object to the proposed amendment and there are no grounds under the Federal Rules warranting denial of the proposed amendment. Complainant will thus be allowed to amend its complaint.

Respondents should file a response to the amended complaint by July 8, 2022. The parties must file a joint status report by July 18, 2022, outlining a proposed schedule as required by the initial order issued in this proceeding.

III. Motion to Dismiss

Respondents' dismissal motion addresses Complainant's allegations in the original complaint. Respondents contend in their Dismissal Reply that the amended complaint asserts new facts and that even considering those newly asserted facts, Complainant still fails to plead facts demonstrating that the Commission has personal jurisdiction over Respondents, and still fails to plead the necessary elements to establish a violation of the Shipping Act provisions

alleged to have been violated. Dismissal Reply at 2-4. The newly asserted claims are not addressed in the reply. Dismissal Reply at 5.

Since Complainants' have been granted permission to file their amended complaint which replaces the original complaint, Respondents' motion to dismiss the original complaint is now moot. Respondents' motion to dismiss is, therefore, denied. However, their arguments, which may apply to the amended complaint, are addressed briefly below to provide guidance and avoid unnecessary motions practice.

Noting that the Commission's Office of the General Counsel ("OGC") issued an opinion letter in which it opined that Respondents were not MTOs, Respondents assert that the complaint should be dismissed for the following reasons. Respondents assert that the Commission does not have personal jurisdiction over them because, according to Respondents, the complaint lacks any factual allegations to support the allegation that Respondents are marine terminal operators ("MTOs") "in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier," and for failure to plead facts sufficient to establish a violation of the Shipping Act because the agreement which formed the basis for allegations raised by the ILA has been withdrawn; "the ILA cannot maintain a claim for reparations for harm to non-parties like carriers, and it pleads no specific facts showing that the ILA itself was injured by Respondents;" Section 41105(6) only applies to carriers, which Respondents are not; the Complaint fails to allege any of the factual elements necessary to establish that Respondents discriminated against Complainant in violation of section 41106(2); and the Commission lacks jurisdiction to grant the ILA's request for a Declaratory Order. Dismissal Motion at 7-11.

ILA argues that Respondents' dismissal motion should be denied because, according to ILA, not only does the amended complaint render moot all of Respondents' arguments for dismissal, in addition, Respondents' reliance on the OGC opinion letter is misplaced because the letter was a non-binding opinion by OGC, the evidence relied upon by OGC in forming its opinion is not on record in this proceeding, and the opinion letter did not address the jurisdictional status of two of the Respondents. Dismissal Opposition at 1.

As an initial matter, addressing Complainant's submission of its response to the motion for dismissal by letter, submissions by letter are generally not permitted because they lack the formality required under the Commission's Rules for motions and responses to motions. However, Complainant's filing will be accepted in order to prevent further delays and increased costs to the parties. Counsel is reminded that they must follow the Commission's requirements. Filings that fail to comply with the Commission's requirements may be rejected in the future.

1. Dismissal for Lack of Jurisdiction

Respondents argued in their motion to dismiss that the Commission lacks personal jurisdiction over them because OGC opined that they were not marine terminal operators, and the Complaint lacks any factual allegations establishing that they are marine terminal operators.

As Complainant notes, the opinion by OGC is not binding on this proceeding. Further, the amended complaint alleges that Respondents are "marine terminal operators, as defined at 46 U.S.C. § 40102(15), because they operate wharves, warehouses, and other marine terminal

facilities, or a combination of the foregoing, in connection with ocean common carriage in various different locations in port cities throughout the United States.” Amended Complaint Motion at 3, ¶ 10.

Specifically, the amended complaint alleges that in the Port of Savannah, Respondents operate jointly as marine terminal operators through Gateway at Garden City Terminal, but also continue to operate separately as marine terminal operators at Ocean Terminal. Amended Complaint Motion at 3, ¶ 11. In addition, the amended complaint alleges that in the Port of Charleston, Respondents operate jointly as marine terminal operators but also continue to operate separately as marine terminal operators at Wando Terminal and North Charleston Terminal. Amended Complaint Motion at 3-4, ¶ 12.

The amended complaint appears to provide sufficient basis for the Commission to assert jurisdiction over this proceeding. Whether there is merit to Complainant’s allegation that Respondents are marine terminal operators is a determination that may become clearer after evidence is obtained from discovery.

2. Dismissal for Failure to Allege a Shipping Act Violation

Respondents also argue that the Complaint fails to plead facts sufficient to establish a violation of the Shipping Act because it pleads no specific facts that the ILA itself was injured by Respondents, Section 41105(6) only applies to carriers and Respondents are not carriers, the Complaint fails to allege the factual elements to establish discrimination under section 41106(2), the Complaint fails to establish that Respondents are operating contrary to the terms of an agreement on file, in violation of section 41102(b) since Respondents withdrew their agreement from consideration by the Commission, and the Commission lacks jurisdiction to grant the Declaratory Order requested in the Complaint. Dismissal Motion at 7-12.

The amended complaint alleges that Respondents entered into a cooperative working agreement required to be filed with the Commission, but after filing the agreement withdrew it from the Commission’s review on September 9, 2019, and that by “operating pursuant to an agreement that was required to be filed under the Shipping Act, but which was withdrawn before it became effective, the Respondents have individually and collectively violated Section 41102(b) of the Shipping Act and Section 535.901 of the Commission’s Rules and Regulation.” Amended Complaint Motion at 19-21. The amended complaint also alleges that the cooperative working agreement by Respondents violates section 41106(2) by creating a monopoly in Charleston and Savannah that “unfairly disadvantages and prejudices those shippers and carriers who must send containers through the southeastern ports when they are compared to those similarly situated shippers and carriers who have the ability to ship containers through ports in the northeastern United States or the Gulf Coast or the West Coast.” Amended Complaint Motion at 17-18. Further, the amended complaint alleges that Respondents eliminated competition, making carriers unable to meaningfully negotiate rates, in violation of section 41106(3), which makes it unlawful for a marine terminal operator to unreasonably refuse to deal or negotiate with any person. Amended Complaint Motion at 16-17, ¶¶ 74-83.

The amended complaint raises allegations of Shipping Act violations and is sufficiently detailed regarding the behavior alleged to be violations of the Shipping Act. The Commission

has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations raised may constitute violations of other non-Shipping Act statutes. *See, e.g., Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 33 S.R.R. 1230, 1232-33 (ALJ Feb. 2, 2015) (Order Denying Request for Stay). Further, under section 41301 of the Act, any “person may file with the Federal Maritime Commission a sworn complaint alleging a violation” of the Shipping Act. 46 U.S.C. § 41301(a). An allegation of injury and proof of injury to the complainant is only required to receive reparations when a violation is found. Thus, a failure to establish a personal injury caused by the alleged violations would not be a basis to dismiss the Complaint.

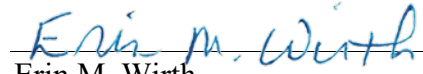
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that the motion to amend the complaint be **GRANTED**. The Secretary is requested to file the amended complaint attached to Complainant’s motion for leave to file an amended complaint. Respondents may file an answer to the amended complaint by July 8, 2022. It is

FURTHER ORDERED that Respondents’ motion to dismiss be **DENIED AS MOOT**. It is

FURTHER ORDERED that the parties shall submit a joint status report with proposed schedule by July 18, 2022.


Erin M. Wirth
Chief Administrative Law Judge